

Calendar Line 3

Case Name: Stratim Capital Growth Fund, LLC et al. v. Altierre Corporation et al.

Case No.: 23CV428277

At issue is a motion by intervenor Kline Hill Partners Fund II LP (Kline Hill) to stay proceedings pending resolution of an appeal from the judgment in a San Francisco case. Notice is proper and the motion is opposed by plaintiffs Stratim Capital Growth Fund, LLC and Stratim Capital, LLC (collectively, Stratim). The parties' requests for judicial notice of court filings in both this action and the San Francisco Action (San Francisco County Superior Court case No. CGC-21-94124) are granted. (Evid. Code, § 452, subd. (d).)

Procedural Background

The San Francisco Action is a suit by Kline Hill against Stratim and other individuals and entities, filed in 2021. The operative third amended complaint alleges that Stratim and defendant-in-intervention Zachary Abrams misappropriated the assets of defendant Altierre Corporation. (San Francisco Action Third Amended Complaint, ¶ 1 (Exh. A to 8/19/26 Crawford dec.)) Kline Hill alleges that misappropriation occurred by, among other things, Stratim and Abrams loaning funds to Altierre in return for "large change of control 'multiples.'" (*Id.*, ¶ 2.) The complaint alleges causes of action for, among other things, breach of fiduciary duty and corporate waste. The San Francisco Action proceeded to a bench trial. Judgment was ultimately entered against Kline Hill. The court's statement of decision discussed the loans Stratim made to Altierre. The court found that Kline Hill's claim for corporate waste failed, which was in part based on analysis related to the loans Stratim made to Altierre: "Stratim was the only entity willing to loan money to Altierre, thus allowing for its financial survival and ability to continue to operate." (San Francisco Action Statement of Decision, 17:6-14 (Exh. D to 8/19/26 Crawford dec.)) In opposing an attorney fee motion, Kline Hill argued, "Enforcement of the Loan Agreements is a discrete and distinct issue easily separable from work on the broader issues of the Altierre director's breaches of fiduciary duties." (Kline Hill's opposition to the fee motion, 16:3-6 (Exh. E to Crawford dec.)) Kline Hill also argued "[n]either Kline Hill nor the Defendants asked for a ruling on the validity of the Loan Agreements and the Court never issued such a ruling." (*Id.* at p. 17:6-10.) The court in the San Francisco Action granted in part Stratim's motion for attorney fees. Stratim argued it was entitled to attorney fees under the secured note purchase agreements between Stratim and Altierre. The court acknowledged Stratim's argument that the secured note purchase agreements played a pivotal role in the alleged scheme, but concluded the agreements were not "so intertwined as to warrant awarding all fees incurred by all parties." (San Francisco Action Fee Order, 10:1-12 (Exh. A to Addiego dec.)) (The court considers the fee order despite it being filed with Kline Hill's reply because it is directly responsive to an argument raised in the opposition.)

The instant action is a breach of contract action filed by Stratim against Altierre Corporation, seeking to enforce the secured note purchase agreements discussed in the San Francisco Action. (Complaint, ¶¶ 23-37.) Kline Hill successfully moved to intervene. Kline Hill's operative first amended complaint in intervention alleges a single cause of action for declaratory relief, seeking a determination that the secured note purchase agreements were not approved by the shareholders. (First amended complaint in intervention, ¶¶ 72-74.)

Discussion

Kline Hill moves to stay proceedings under three authorities: Code of Civil Procedure section 916; the rule of exclusive concurrent jurisdiction; and the court's inherent authority to stay proceedings.

Code of Civil Procedure Section 916

As a general matter, “the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby.” (Code Civ. Proc., § 916; unspecified statutory references are to this Code.) But “the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order.” (*Ibid.*) “[W]hether a matter is “embraced” in or “affected” by a judgment [or order] within the meaning of [section 916] depends on whether postjudgment [or postorder] proceedings on the matter would have any effect on the “effectiveness” of the appeal.” ” (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 189.) That a postjudgment proceeding may render an appeal moot is not, by itself, enough for a stay under section 916. The new “proceeding must directly or indirectly seek to ‘enforce, vacate or modify [the] appealed judgment or order.’ ” (*Ibid.*) “Or the proceeding must substantially interfere with the appellate court’s ability to conduct the appeal.” (*Ibid.*)

Section 916 does not compel a stay of this action. The instant action does not seek to enforce, vacate, or modify the appealed judgment. Nor would it substantially interfere with the appellate court’s ability to conduct the appeal.

Inherent Authority to Stay Proceedings

A trial court “ ‘ordinarily has inherent power, in its discretion, to stay proceedings when such a stay will accommodate the ends of justice.’ ” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 141.) “ ‘In exercising its discretion the court should consider the importance of discouraging multiple litigation designed solely to harass an adverse party, and of avoiding unseemly conflicts with the courts of other jurisdictions. It should also consider whether the rights of the parties can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.’ ” (*Thomson v. Continental Ins. Co.* (1967) 66 Cal.2d 738, 746-747.)

Both cases involve, to some degree, the validity of the secured note purchase agreements that Stratim seeks to enforce in the instant action. The court in the San Francisco Action entered judgment against Kline Hill. That action is now on appeal. If the judgment is affirmed, that decision will likely have at least some degree of preclusive effect on the issues raised in Kline Hill’s first amended complaint in intervention in this action. If the judgment is reversed, those issues may need to be litigated in the first instance in the San Francisco Action. On this record, the court concludes the matter should be stayed, at least until resolution of the appeal in the San Francisco Action.

Because the court is staying proceedings under its inherent authority, the court does not reach the parties’ arguments about exclusive concurrent jurisdiction.

Conclusion

The court exercises its inherent power to STAY this action pending resolution of the appeal in the San Francisco Action. The court will hold a case status review regarding the appeal in that action on April 15, 2027, at 11:00 a.m. in Department 10.

The court will prepare the order.

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Calendar Line 4

Case Name: Alvaro Pedroza v. Ford Motor Company et al.

Case No.: 24CV454281

This is an action under the Song-Beverly Consumer Warranty Act brought by plaintiff Alvaro Pedroza (Pedroza) against defendants Ford Motor Company (Ford); DGDG 16, LLC dba Capitol Ford (Capitol Ford); and Doe defendants. The lawsuit is based on Pedroza's purchase of a 2023 Ford F-150 in July 2023. As part of the purchase, Pedroza entered into a warranty contract with Ford.

The original and still operative complaint filed in December 2024 alleges five causes of action: (1) breach of express warranty; (2) breach of implied warranty; (3) violation of Civil Code section 1793.2; (4) fraudulent inducement—concealment; and (5) negligent repair (against Capitol Ford only). A copy of the warranty contract is attached to the complaint as exhibit 1. Ford and Capitol Ford filed answers to the complaint in March 2025.

At issue is a motion for judgment on the pleadings brought jointly by Ford and Capitol Ford and opposed by Pedroza.

REQUEST FOR JUDICIAL NOTICE

“Judicial notice may not be taken of any matter unless authorized or required by law.” (Evid. Code, § 450.) A precondition to judicial notice in either its permissive or mandatory form is that the matter to be noticed be relevant to the material issue before the court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307.) Evidence Code section 453, subdivision (b), requires a party seeking notice to “[furnish] the court with sufficient information to enable it to take judicial notice of the matter.”

Defendants have submitted a request for judicial notice of a copy of the complaint with the motion for judgment on the pleadings. That request is denied as unnecessary. The court already considers the challenged pleading as part of the motion. (*Paul v. Patton* (2015) 235 Cal.App.4th 1088, 1091, fn.1 [denying as unnecessary a request for judicial notice of pleading under review on demurrer].)

LEGAL STANDARD FOR MOTIONS FOR JUDGMENT ON THE PLEADINGS

A motion for judgment on the pleadings “is equivalent to a belated general demurrer.” (*Sprague v. County of San Diego* (2003) 106 Cal.App.4th 119, 127.) It has the same function as a general demurrer, but it is made after the time for demurrer has expired. Except as provided by statute (Code Civ. Proc., § 438), the rules governing demurrers apply. The court accepts as true all properly pleaded material factual allegations, but does not accept as true contentions, deductions, or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Extrinsic evidence cannot be considered.

The court has considered the declaration from counsel for Capitol Ford only to the extent it describes the meet and confer efforts required by statute. The court has not considered the attached exhibit. The meet and confer efforts were inadequate. Sending email messages does not comply with Code of Civil Procedure section 439, subdivision (a), which requires a

moving party to meet and confer “in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion for judgment on the pleadings.” But that failure to adequately meet and confer, without more, is not a basis to deny the motion. (Code Civ. Proc., § 439, subd. (a)(4).) Finally, “points raised in the reply brief for the first time will not be considered, unless good reason is shown for failure to present them before.” (*Proctor v. Vishay Intertechnology, Inc.* (2013) 213 Cal.App.4th 1258, 1273.)

DISCUSSION

Defendants jointly move “for judgment on the pleadings as to each cause of action in Plaintiff’s complaint and its request for punitive damages.” (Notice of Motion at p. 1:27-28.) As with a demurrer challenging an entire pleading, a judgment on the pleadings motion directed at an entire pleading fails if any cause of action is properly stated. (*Warren v. Atchison, Topeka & Santa Fe Ry.* (1971) 19 Cal.App.3d 24, 29, 36 [trial court’s sustention of demurrer to entire pleading reversed on ground that a cause of action was stated]; *Shook v. Pearson* (1950) 99 Cal.App.2d 348 [a demurrer which attacks entire pleading should be overruled if one of the counts therein is not vulnerable to the objection].)

The supporting memorandum addresses only the complaint’s fifth cause of action for negligent repair. Because the motion is directed at the entire complaint yet only addresses one cause of action, it could be denied outright for this reason alone. The court will instead interpret the motion as one directed at only the fifth cause of action.

Fifth Cause of Action

The fifth cause of action alleges negligent repair against Capitol Ford only. (See complaint, ¶¶ 33-37.) The fifth cause of action and the allegations incorporated by reference do not allege any personal injury or property damage independent of the alleged negligently performed repairs.

“The elements of a negligence cause of action are duty, breach, causation and damages.” (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.) “Negligence may be alleged in general terms; that is, it is sufficient to allege an act was negligently done without stating the particular omission which rendered it negligent.” (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

Both defendants move for judgment on the pleadings. But the fifth cause of action is alleged against only Capitol Ford. Because the cause of action is not alleged against Ford, Ford’s motion for judgment on the pleadings must be denied.

Capitol Ford argues the cause of action is barred by the economic loss rule.

The Supreme Court in *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, determined that the economic loss rule “applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage under the limits recognized in” *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922 (*Sheen*).” (*Id.* at p. 38.) *Sheen* determined that the economic loss rule generally bars claims for monetary losses between contractual parties that arise from or are not independent of the contract. (*Sheen*,

supra, 12 Cal.5th at pp. 923-924.) *Sheen* recognized an exception to the economic loss rule “for consumers who contract for certain kinds of professional services.” (*Id.* at p. 933.)

Here, allegations that an auto dealership negligently performed repairs “on numerous occasions” cannot be construed as negligence in providing professional services. Treating auto repairs as professional negligence would allow the exception to consume the economic loss rule. The complaint also does not allege any basis for a duty of care other than a contract, and does not allege a “common law” duty to repair.

The “the economic loss rule does not necessarily bar recovery in tort for damage that a defective product (e.g., a window) causes to other portions of a larger product (e.g., a house) into which the former has been incorporated.” (*Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 483.) But the complaint here does not allege any damage to other portions of the subject vehicle caused by any allegedly negligent repairs. Instead, the complaint alleges that the subject vehicle was sold with a transmission defect that Capitol Ford did not cause but could not fix.

A plaintiff bears the burden of proving an amendment would cure the defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081; *Sanowicz v. Bacal* (2015) 234 Cal.App.4th 1027, 1044.) Pedroza’s opposition does not meet this burden. It includes a generic request for leave to amend that fails to describe how the fifth cause of action could be amended to avoid the economic loss rule without contradicting existing factual allegations. (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [“The onus is on the plaintiff to articulate the ‘specifi[c] ways’ to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend ‘only if a potentially effective amendment [is] both apparent and consistent with the plaintiff’s theory of the case.’”].)

Because Pedroza has not shown a reasonable possibility of amending the cause of action while remaining consistent with the existing express factual allegations, the motion for judgment on the pleadings as to the fifth cause of action for negligent repair is granted without leave to amend. The court does not reach Capitol Ford’s other arguments.

CONCLUSION

Defendants’ request for judicial notice is denied.

Defendants’ motion for judgment on the pleadings as to the complaint’s fifth cause of action for negligent repair is denied as brought by defendant Ford and granted without leave to amend as brought by defendant Capitol Ford.

The court will prepare the order.

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Calendar Line 8

Case Name: Romit Chakraborty, PhD. v. PsiQuantum Corp. et al.

Case No.: 26CV488244

This is an action for breach of contract (a settlement agreement) brought by self-represented plaintiff Romit Chakraborty (Plaintiff) against defendant PsiQuantum Corporation (Defendant), his former employer.

The original complaint was filed in March 2026. The operative first amended complaint (FAC), alleging a single cause of action for breach of contract (the settlement agreement), was also filed in March 2026. There are no exhibits attached to the FAC. Neither the original complaint nor the FAC allege a specific amount of damages sought by Plaintiff.

Defendant filed an answer to the complaint in May 2026. Defendant then filed a motion to reclassify the case as a limited civil matter, based on statements from Plaintiff that the damages he sought were equivalent to \$10,000. That motion is currently set for hearing in December 2026.

At issue is Plaintiff's motion for leave to file a second amended complaint (SAC), which he filed after defendant's motion to reclassify the case and without first meeting and conferring with Defendant. Defendant opposes Plaintiff's motion for leave to amend.

LEGAL STANDARDS FOR MOTION FOR LEAVE TO AMEND

A trial court has discretion to "allow a party to amend any pleading." (Code Civ. Proc., § 473, subd. (a)(1); *Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163.) Leave to amend can be denied if the party seeking amendment unnecessarily delayed the motion, or if the delay prejudiced the opposing party. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.)

DISCUSSION

In the proposed SAC (a copy of which is attached to Plaintiff's supporting declaration) Plaintiff seeks "to add allegations and new causes of action based on [Defendant's] post-agreement issuance of an incorrect 2025 Form 1099-NEC for the non-wage settlement payment that the agreement required to be reported on Form 1099-MISC, Box 3, and to clarify that the amount in controversy exceeds \$35,000." (Notice of Motion at p. 2:17-20,)

The proposed SAC adds two additional causes of action: (1) a second cause of action for breach of contract, based on the brief delay in providing Plaintiff with the correct Form 1099; and (2) a cause of action for declaratory relief, seeking a declaration that the submission of the incorrect Form 1099 was a breach of contract (the settlement agreement). (See exhibit A to Plaintiff's declaration.)

Defendant's opposition argues that the motion for leave to amend is an attempt to undercut Defendant's previously filed motion to reclassify. Defendant also argues that Plaintiff violated local court rules by filing and setting the motion without first meeting and conferring. The court admonishes Plaintiff to comply with all applicable laws and court rules in the future. But even assuming some level of gamesmanship, that does not establish that the

proposed amendment will prejudice Defendant. No trial date has been set, meaning the parties have adequate time for discovery. Any challenge to the adequacy of the SAC can be addressed through a demurrer or other pleading challenge. (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048 [“even if the proposed legal theory is a novel one, ‘the preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.’ ”].)

The motion for leave to file the proposed SAC is granted.

CONCLUSION

Plaintiff’s motion for leave to file the proposed SAC is granted.

Plaintiff must separately file and serve the second amended complaint, no later than September 11, 2026.

The court will prepare the order.

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